Kessport Frontier Fund II

Quarterly Report - Q2 2026 (period ended 30 June 2026)

Report of the Manager - issued 29 August 2026

Kessport Frontier Managers Limited | www.kessportfrontier.example
IMAGE REDACTED - Kessport Frontier Managers corporate logo
For the period ended 30 June 2026

Kessport Frontier Managers Limited - General Partner

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Table of Contents

Fund Overview . . . 3

Letter to Limited Partners . . . 4

Portfolio Update . . . 4

Partnership Term . . . 5

Significant Developments . . . 5

Administrative Updates . . . 5

Fund Status . . . 6

Fund Synopsis . . . 6

Value Progression . . . 7

TVPI Curve . . . 7

IRR (USD '000) . . . 8

Fees and Carried Interest . . . 9

Fund Portfolio Information . . . 9

Movement in Carrying Value for the Quarter . . . 10

Exits . . . 10

Investment Portfolio Information . . . 11

Valuation Summary . . . 11

ESG and Impact . . . 12

Country Update . . . 13

Expected Exit Pathway . . . 14

Proposed Continuation-Fund Transaction . . . 15

Portfolio Reporting - Arvenna Health Group . . . 16

Portfolio Reporting - Tallowick Consumer Products . . . 20

Capital Account Summary and Fees . . . 24

Key Events, Subsequent Events and Risk Factors . . . 25

Notes to the Report . . . 26

Disclaimer . . . 27

Fund Overview

The table below summarises the key terms of Kessport Frontier Fund II (the "Fund") as at 30 June 2026. Capitalised terms have the meanings given to them in the limited partnership agreements of the three parallel vehicles (the "LPA").

Fund name	Kessport Frontier Fund II (three parallel limited partnerships, together the "Fund")
Total commitments (1)	US$185.0 million, of which Kessport Frontier Fund II L.P. US$121.6M, Kessport Frontier Fund II-A L.P. US$41.3M and Kessport Frontier Fund II-B (DFI) L.P. US$22.1M
First close date	14 September 2017
Final close date	21 June 2018
Vintage (year of first investment)	2017 (first investment completed 8 December 2017)
Fund term	Ten years from the first close (14 September 2027), extendable by up to two one-year periods with the consent of the Limited Partner Advisory Committee; on 3 June 2025 the Committee approved the Manager's liquidation plan for the remaining portfolio and indicated its support for both extension periods, which will be formally requested in 2027 if required
Investment period	Five years from the first close; ended 14 September 2022
Legal form / domicile	Limited partnerships registered in Jurisdiction D; the Fund is not a legal entity and acts through its General Partner
Structure	General Partner: Kessport Frontier Fund II GP Limited; Manager: Kessport Frontier Managers Limited, which acts for and on behalf of the General Partner under the management agreement and issues this report in that capacity; Investment Advisor: Kessport Frontier Advisory (Country A) Limited; Administrator: Administrator 1 (Jurisdiction D)
Investment strategy	Focus: growth capital, significant-minority and majority positions in mid-sized private companies; Geography: Country A, Country B and neighbouring markets in the same region; Sectors: healthcare, education, consumer staples, logistics and agri-value chains
Financial year end	31 December (audited financial statements issued within 120 days; quarterly reports within 60 days of quarter end)

(1) Total commitments were reduced from US$205.0 million to US$185.0 million following the cancellation of US$20.0 million of undrawn commitments approved by the Limited Partner Advisory Committee in November 2022, at the end of the investment period.

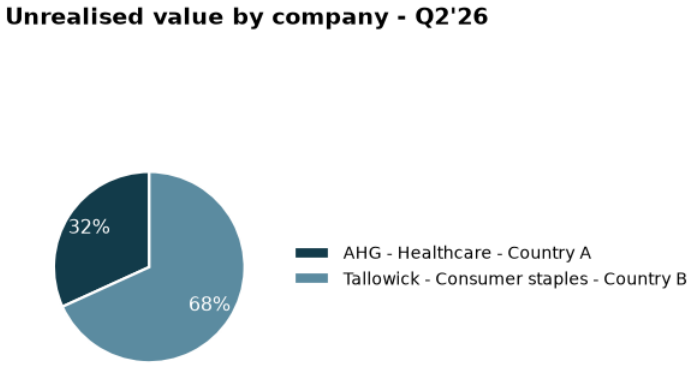
Letter to Limited Partners

Dear Limited Partners, we are pleased to present the report of the Manager for the quarter ended 30 June 2026. As at the reporting date the Fund had drawn 92.0% of total commitments, or US$170.2M (after the cancellation of US$20.0M of undrawn commitments in November 2022, total commitments stand at US$185.0M). The Fund holds two remaining investments, Arvenna Health Group in Country A and Tallowick Consumer Products in Country B, having fully realised or written off its four other investments. Cumulative distributions to Limited Partners amount to US$68.0M, or 0.40x paid-in capital (1); the residual value of the Fund is US$167.3M, or 0.98x paid-in capital, giving a total value to paid-in capital (TVPI) of 1.38x and a net IRR since inception of 6.6%. All valuations in this report are prepared in accordance with the Fund's Valuation Policy (see the notes to the report) and have been reviewed by the Fund's Investment Committee.

The net asset value of the Fund increased by US$5.7M during the quarter, from US$161.6M at 31 March 2026 to US$167.3M at 30 June 2026. The movement reflects an unrealised gain of US$5.2M on the two remaining investments, driven by growth in last-twelve-months EBITDA at both companies with valuation multiples unchanged, investment income and escrow accretion of US$1.0M, and fund expenses (including the General Partner share) of US$0.5M. No capital was drawn and no distributions were made during the quarter.

Portfolio Update

The remaining portfolio is defensive in nature, comprising a private hospital group and a branded consumer-staples manufacturer that together represent US$153.9M of carrying value (92.0% of NAV). Both companies delivered double-digit EBITDA growth in local currency over the last twelve months and both are cash generative. The chart below shows the split of unrealised value by company; because each company is the Fund's only holding in its sector and its country, the split by sector (healthcare / consumer staples) and by country (Country A / Country B) is identical.



- Healthcare sector - Country A - Arvenna Health Group ("AHG"). Revenue for the first half of 2026 reached US$30.3M (LCA 128.8M), 13.8% above the first half of 2025 and 98.5% of budget; on a last-twelve-months basis to June 2026 revenue was US$58.6M against US$51.7M a year earlier. EBITDA for the half year was US$7.1M, with the EBITDA margin broadly stable at 23.5% (23.6% in the prior-year period), reflecting higher occupancy across the four hospitals (70.5% average versus 69.3% in 2025), growth in inpatient admissions of 1.5% to c.18,818 for the half year and continued ramp-up of the radiotherapy unit at AHG North. Net debt stood at

US$22.5M at 30 June 2026 (1.6x LTM EBITDA). The Fund's stake is the subject of the proposed continuation-fund transaction described below; the earlier advisor-run sale process, which attracted interest from two regional hospital groups, did not produce an offer at or above carrying value.

- Management continues to execute the specialist-recruitment programme (11 senior physicians joined in the half year across oncology, cardiology, orthopaedics and IVF), the second-phase oncology expansion at AHG North and the digital patient-relationship platform rolled out at AHG Central and AHG Coast in April 2026.

- Consumer sector - Country B - Tallowick Consumer Products ("Tallowick"). Revenue for the first half of 2026 was US$68.9M (LCB 5.51 billion), 7.3% above the prior-year period and 98.5% of budget, driven by volume growth in the Dunya and Zeyla ranges and price/mix in household care. The gross margin improved to 38.6% from 36.2%, as lower resin and edible-oil costs and the localisation of packaging supply offset trade-promotion investment. EBITDA of US$10.9M for the half year represents a 15.8% margin (13.7% in the first half of 2025).
  - The balance sheet moved from net cash of US$1.0M at 30 June 2025 to net cash of US$3.2M at 30 June 2026, and the board has approved a dividend of LCB 428M (c.US$5.3M) payable in September 2026, of which the Fund's share is c.US$4.0M.

Partnership Term

The Fund's initial ten-year term runs to 14 September 2027 and may be extended by up to two one-year periods with the consent of the Limited Partner Advisory Committee, to 14 September 2029 at the latest. In June 2025 the Committee approved the Manager's liquidation plan for the remaining portfolio and indicated its support for both extension periods should they be needed; the Manager will make the formal request in 2027 only if the remaining investments have not been realised by then. The Manager does not intend to seek any extension beyond 2029 and expects to complete the liquidation of the Fund well ahead of that date, subject to the outcome of the continuation-fund process described below.

Significant Developments

On 28 July 2026, after quarter end, the Manager gave formal notice to Limited Partners of the proposed sale of the Fund's stakes in Arvenna Health Group and Tallowick Consumer Products to the Dunecrest Continuation Fund, a vehicle to be managed by the Manager alongside Kessport Frontier Fund III and two development-finance co-investors, and circulated the draft key terms; the transaction teaser ("Project Dunecrest - Transaction Teaser") and the data room, including the transaction model, are expected to follow in September 2026. The proposed purchase price of US$143.6M represents 93.3% of the 30 June 2026 carrying value of the two stakes (94% for AHG and 93% for Tallowick), with a targeted closing on 31 December 2026. Limited Partners will be offered the election to sell for cash or to roll into the continuation vehicle; LPAC conflict clearance has been sought and an independent fairness opinion commissioned. Further detail is set out in the section "Proposed Continuation-Fund Transaction".

Administrative Updates

The Fund's audited financial statements for the year ended 31 December 2025 were issued on 24 April 2026 with an unqualified opinion. The annual general meeting of Limited Partners was held virtually on 9 June 2026. The escrow of US$2.05M retained from the 2023 sale of Company 4 was released in full on 17 July 2026 and will be distributed together with the Tallowick dividend in the fourth quarter. The Manager will not draw further capital other than to meet fund expenses, and the remaining undrawn commitment of US$14.8M is expected to be cancelled in part at the liquidation of the Fund.

We thank you for your continued support and remain available to discuss any aspect of this report. Yours faithfully, Kessport Frontier Managers Limited, Manager.

(1) Paid-in capital is the cash actually drawn from Limited Partners through 30 June 2026 (capital calls 1 to 15); no recallable distributions have been made.

Fund Status

The Fund Administrator is Administrator 1 (Jurisdiction D), which maintains the books and records of the three parallel vehicles, calculates capital account balances and processes capital calls and distributions. The figures below are unaudited and are presented in US dollars, the reporting currency of the Fund.

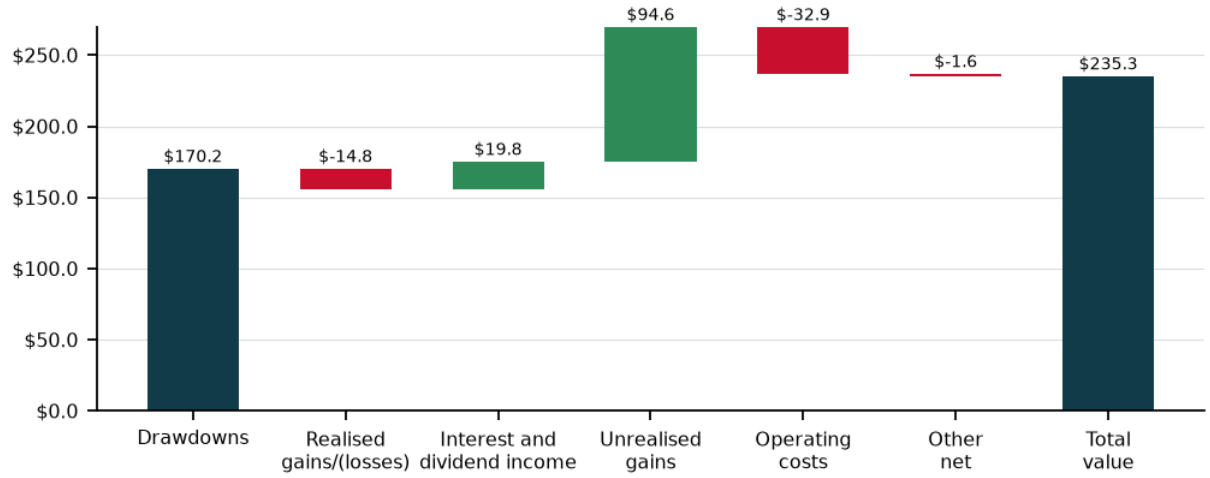
Fund Synopsis

Line item (US$ million)	Ref	30 Jun 2026	% committed	31 Mar 2026	% committed
Committed capital	A	185.0	100.0%	185.0	100.0%
Paid-in capital: from initial commitment	B	170.2	92.0%	170.2	92.0%
Paid-in capital: from recallable distributions		0.0	0.0%	0.0	0.0%
Total paid-in capital		**170.2**	**92.0%**	**170.2**	**92.0%**
Distributions (net of carried interest): non-recallable	C	68.0	36.8%	68.0	36.8%
Total distributions		**68.0**	**36.8%**	**68.0**	**36.8%**
Available for drawdown	A - B	14.8	8.0%	14.8	8.0%
Net asset value: carrying value of portfolio		153.91	83.2%	148.74	80.4%
Net current assets (1)		13.35	7.2%	12.84	6.9%
Total net asset value		**167.25**	**90.4%**	**161.58**	**87.3%**
Residual value (2)	**D**	**167.25**	**90.4%**	**161.58**	**87.3%**
Distributions to paid-in capital (DPI)	C / B	0.40x		0.40x	
Residual value to paid-in capital (RVPI)	D / B	0.98x		0.95x	
Total value to paid-in capital (TVPI)	(C + D) / B	1.38x		1.35x	
Paid-in capital to committed capital (PIC)	B / A	0.92x		0.92x	

(1) Net current assets at 30 June 2026 comprise cash and cash equivalents of US$12.94M, the Company 4 escrow receivable of US$2.05M and other receivables of US$0.12M, less accrued liabilities and payables of US$0.89M and an inter-vehicle balance of US$0.87M. (2) Residual value is net asset value less implied carried interest; no carried interest is implied at 30 June 2026 because the preferred return under the LPA has not been met. (3) The unrealised gain for the quarter of US$5.2M includes an audit-driven adjustment of US$0.14M to the 31 December 2025 net debt of Arvenna Health Group.

Value Progression

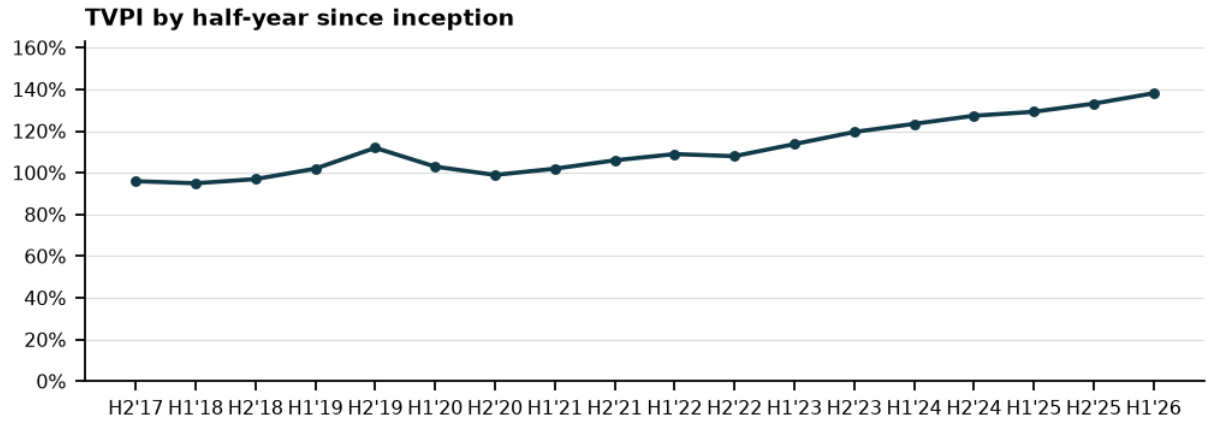
The following chart depicts the Fund's value progression since inception (amounts in US$ million). It reconciles total capital drawn from Limited Partners to the total value created for them, being cumulative distributions plus the residual value at the reporting date.



Operating costs of US$32.9M since inception include the General Partner share, establishment costs, fund administration, audit, legal and other professional charges, carried interest (nil) and other net expenses. Realised losses of US$14.8M reflect the write-down of Company 5 and the write-off of Company 6, partly offset by the gains on Company 3 and Company 4. "Other net" comprises drawdowns retained as working capital and other net movements.

TVPI Curve

The chart below shows the evolution of total value to paid-in capital (TVPI) at each half-year end since the first close, expressed as a percentage of paid-in capital (100% = 1.00x). TVPI fell below 1.0x during 2020 and 2021, reflecting the impairment of Company 5 and Company 6, and has recovered steadily since as the value of the two remaining investments compounded; it stood at 1.38x at 30 June 2026.



IRR (USD '000)

The table sets out the Limited Partner cash flows of the Fund since inception, on which the net IRR is computed, together with the residual value at the reporting date.

Month	Capital drawdown (1)	Distributions to Limited Partners (2)	Residual value (3)	Total
Sep-17	(4,600)			(4,600)
Dec-17	(27,400)			(27,400)
Jun-18	(2,200)			(2,200)
Nov-18	(24,900)			(24,900)
Apr-19	(22,000)			(22,000)
Nov-19	(28,700)			(28,700)
Dec-19		36,200		36,200
Mar-20	(14,700)			(14,700)
Oct-20	(2,600)			(2,600)
Jul-21	(25,300)			(25,300)
Dec-21	(2,600)			(2,600)
Jun-22	(4,400)			(4,400)
Dec-22	(1,000)			(1,000)
Dec-22		5,400		5,400
Jun-23	(2,800)			(2,800)
Oct-23		21,600		21,600
Mar-24	(3,200)			(3,200)
Jun-24		2,700		2,700
Apr-25	(3,800)			(3,800)
Dec-25		2,100		2,100
Jun-26			167,254	167,254
Total	**(170,200)**	**68,000**	**167,254**	**65,054**
Net IRR (4)				**6.6%**
Gross IRR (5)				**11.8%**

(1) Drawdowns are shown against the month in which they fell due; each drawdown funded the investment or expenses of that month from cash on hand (the Fund has held a positive cash balance throughout its life), and no subscription credit facility has been used by the Fund. (2) Distributions are shown against the month of payment. (3) Residual value is the net asset value at 30 June 2026 less implied carried interest (nil). (4) Net IRR since inception, computed as the annualised internal rate of return (XIRR, actual dates) of the Limited Partner cash flows in this table, treating the residual value as a terminal inflow on 30 June 2026; this is the net IRR reported at fund level throughout this report. The net IRR is low relative to the gross IRR because the two loss-making realisations and the fund expenses of US$32.9M were funded from drawdowns while the value of the two remaining investments is still unrealised. (5) Gross IRR of the investment portfolio, computed on investment-level cash flows (cost, exit proceeds, income and carrying value) before fees, expenses and carried interest: 11.8%; gross MoC 1.70x.

Fees and Carried Interest

Amount in US$ million	Current reporting period	Since inception
Fees: General Partner share (1)	0.22	26.40
Organisational costs (2)	0.00	1.30
Carried interest: carried interest paid (3)	0.00	0.00
Implied carried interest (3)	0.00	0.00
Clawback payable (4)	0.00	0.00

(1) The General Partner share was charged at 2.0% per annum of total commitments during the investment period and, since 14 September 2022 (the reduction date), at 1.5% per annum of net utilised capital, being the acquisition cost of investments not yet realised or written off (LPA clause 8.2); the current-period charge is based on net utilised capital of US$59.3M. (2) Establishment costs were capped at 0.75% of total commitments (LPA clause 8.5). (3) Carried interest is determined in accordance with LPA clause 12 (20% above an 8% compound preferred return with full catch-up); no carried interest is payable or implied at the reporting date. (4) Clawback per LPA clause 12.6; not applicable.

Fund Portfolio Information

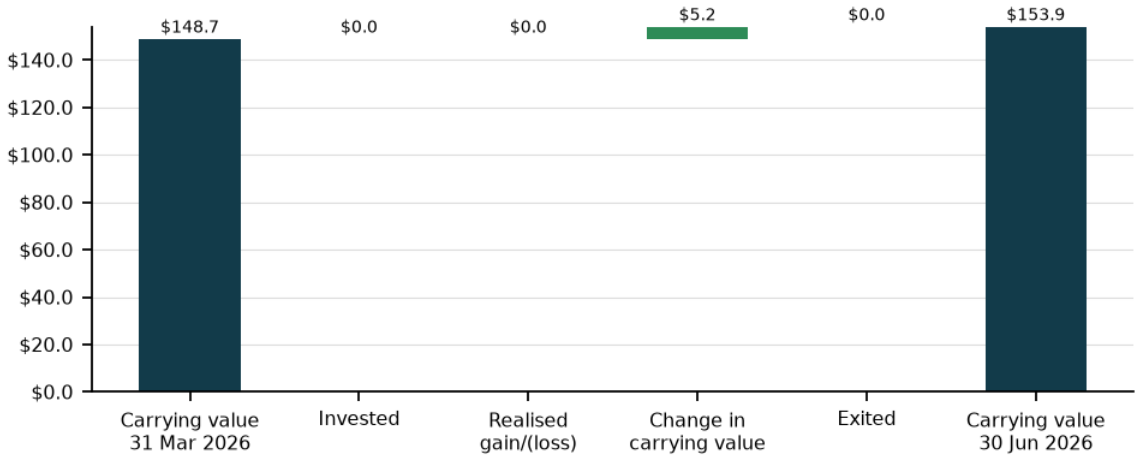
The schedule below lists every investment made by the Fund since inception, grouped into realised and unrealised portfolios. Amounts are in US$ million. No investment was made or exited during the quarter; the escrow relating to Company 4 was released after quarter end (see subsequent events).

Partner company	Entry	Exit	Country	Sector	Stake	Invested capital (3)	Carrying value	Net exit proceeds	Realised gain / (loss)	Income (1)	MoC	Gross IRR (2)
Realised portfolio												
Company 3 (exited 2019)	Dec-17	Nov-19	Country A	Logistics	35.0%	26.0	-	37.7	11.7	0.4	1.47x	22.0%
Company 4 (exited 2023)	Nov-18	Sep-23	Country B	Agriculture	42.5%	22.5	-	23.6	1.1	0.7	1.08x	1.6%
Company 5 (exited 2022)	Apr-19	Dec-22	Country A	Packaging	30.0%	20.4	-	6.1	(14.3)	0.2	0.31x	-27.6%
Company 6 (written off 2024)	Mar-20	Apr-24	Country B	Retail	48.0%	14.0	-	0.7	(13.3)	0.0	0.05x	-51.6%
Total realised						**82.9**	**-**	**68.1**	**(14.8)**	**1.3**	**0.84x**	
Unrealised portfolio (unquoted)												
Arvenna Health Group (4)	Jul-21	-	Country A	Healthcare	58.0%	31.42	48.96	-	-	2.20	1.63x	11.2%
Tallowick Consumer Products (5)	Nov-19	-	Country B	Consumer	74.0%	27.86	104.95	-	-	16.27	4.35x	28.8%
Total unrealised						**59.28**	**153.91**	**-**	**-**	**18.47**	**2.91x**	
Grand total						**142.18**	**153.91**	**68.1**	**(14.8)**	**19.77**	**1.70x**	**11.8%**

(1) Income includes fund-level interest and dividends received from the partner company. (2) Gross IRR at the investment level, before fund fees, expenses and carried interest. (3) Invested capital is the acquisition cost including capitalised transaction costs; transaction costs of the holding SPVs are expensed at SPV level. (4) Arvenna Health Group comprises AHG Central, AHG Coast, AHG North (including the oncology and radiotherapy unit), AHG Park and AHG Diagnostics; the invested capital includes two follow-on investments (June 2022 and June 2023). (5) Tallowick Consumer Products comprises the parent company and its three manufacturing subsidiaries in Country B. Stake reflects the Fund's effective economic ownership at the reporting date.

Movement in Carrying Value for the Quarter

(Amount in US$ million.) The bridge below reconciles the carrying value of the portfolio at 31 March 2026 to the carrying value at 30 June 2026.



The change in carrying value of US$5.2M comprises an increase of US$1.8M in the carrying value of Arvenna Health Group and an increase of US$3.4M in the carrying value of Tallowick Consumer Products. In both cases the valuation multiple was held constant and the movement is explained by growth in last-twelve-months EBITDA, net-debt reduction and currency translation, as detailed in the valuation sections of the respective portfolio reports.

Exits

No exit was completed during the quarter. The Fund's last realisation was the sale in April 2024 of the residual assets of Company 6 for net proceeds of US$0.7M. After quarter end, on 17 July 2026, the escrow agent released the US$2.05M retained from the September 2023 sale of Company 4 to a strategic buyer, following the expiry of the warranty period without claims; the funds have been received in the Fund's US-dollar account in Jurisdiction D and will be distributed in the fourth quarter of 2026 together with the Tallowick dividend. The exit of the two remaining investments is expected to be achieved through the proposed continuation-fund transaction described later in this report, with a targeted closing on 31 December 2026.

Investment Portfolio Information

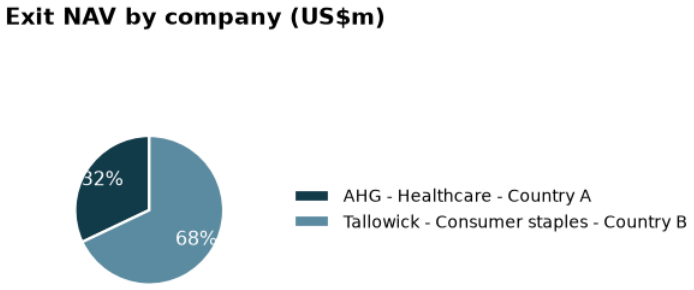
Valuation Summary

The remaining portfolio comprises two investments valued in accordance with the Valuation Policy and reviewed by the Investment Committee on 21 July 2026. Both investments are valued on a market approach using a multiple of last-twelve-months EBITDA to June 2026, cross-checked against the pricing indicated for the proposed continuation-fund transaction. The exit-scenario columns show the value of each stake at the proposed transaction price (Exit NAV) and the resulting exit multiple of cost including income received. All figures are in US$ million.

Company	Cost	Q1'26 total	Q2'26 realised	Q2'26 unrealised	Q2'26 total	MoC	IRR	Change on Q1	Exit NAV	Total exit value	Target exit MoC
Company 3 (exited 2019)	26.0	38.1	38.1	-	38.1	1.47x	22.0%	-	-	38.1	1.47x
Company 4 (exited 2023)	22.5	24.3	24.3	-	24.3	1.08x	1.6%	-	-	24.3	1.08x
Company 5 (exited 2022)	20.4	6.3	6.3	-	6.3	0.31x	-27.6%	-	-	6.3	0.31x
Company 6 (written off 2024)	14.0	0.7	0.7	-	0.7	0.05x	-51.6%	-	-	0.7	0.05x
Total realised	**82.9**	**69.4**	**69.4**	**-**	**69.4**	**0.84x**		**-**	**-**	**69.4**	**0.84x**
Arvenna Health Group (2)	31.42	49.37	2.20	48.96	51.15	1.63x	11.2%	1.79	46.02	48.22	1.53x
Tallowick Consumer Products (3)	27.86	117.84	16.27	104.95	121.22	4.35x	28.8%	3.38	97.61	113.87	4.09x
Total	**142.18**	**236.61**	**87.87**	**153.91**	**241.77**	**1.70x**	**11.8%**	**5.17**	**143.62**	**231.49**	**1.63x**

Unrealised NAV, pro-forma for the proposed continuation-fund transaction

At the proposed transaction price the Fund would realise US$143.6M for the two stakes, a discount of US$10.3M (6.7%) to the 30 June 2026 carrying value. Pro-forma for the transaction and before transaction costs, cumulative distributions would rise to US$211.6M, or 1.24x paid-in capital, and the residual value would be limited to net current assets.



(1) Realised companies are shown at total net proceeds including income; IRRs are investment-level gross IRRs. (2) Arvenna Health Group is valued at 8.0x LTM June 2026 EBITDA of US$13.8M (audited FY2025 less H1 2025 plus H1 2026; enterprise value US$110.4M), less gross debt of US$23.6M and minority interests of US$4.4M, plus cash of US$2.6M and other adjustments of US$(0.6)M, giving an equity value of US$84.4M for 100% and US$49.0M for the Fund's 58.0%. Debt, cash and minority interests are the pro-forma 31 December 2026 balances of the transaction model (the basis of the Exit NAV pricing) rather than the 30 June 2026 management-accounts balances shown in the business report (net debt US$22.5M); valuing on the June balances would reduce the equity value by c.US$1.5M (c.US$0.9M for the Fund), which the Manager considers immaterial. (3) Tallowick Consumer Products is valued at 7.0x LTM June 2026 EBITDA of US$20.2M (same basis; enterprise value US$141.5M), less gross debt of US$3.6M, corporate income tax payable on a sale of US$2.15M and dividends declared but unpaid at the pro-forma date of US$1.5M (LCB 118M), plus cash of US$7.6M, giving an equity value of US$141.8M for 100% and US$105.0M for the Fund's 74.0%; debt and cash are likewise the model's pro-forma year-end 2026 balances, which are stated after payment of the LCB 428M (US$5.3M) dividend approved for September 2026 (June 2026 net cash per management accounts US$3.2M, which would reduce the equity value by c.US$0.8M). Exit NAV reflects NAV pricing of 94% (AHG) and 93% (Tallowick).

ESG and Impact

The Fund issued its annual ESG and Impact Report for the financial year 2025 to Limited Partners on 29 May 2026. The report is prepared in line with the Fund's ESG management system agreed with its development-finance Limited Partners and covers both remaining portfolio companies. The headline impact numbers for 2025 compared with 2024 are summarised below; the full report, including the environmental and social action plans of each company, is available on the Limited Partner portal.

2025 Impact Numbers

Impact metric	2024	2025	Variation
Number of portfolio companies	2	2	-
Total employees	4,180	4,310	+3.1%
Full-time female employees	1,712	1,806	+5.5%
Female managers (% of managers)	31%	33%	+2 pts
Youth employees (under 30)	1,268	1,340	+5.7%
Training expenditure (US$)	286,000	341,000	+19.2%
Employees trained	2,940	3,215	+9.4%
Taxes paid (US$ million)	9.4	10.7	+13.8%

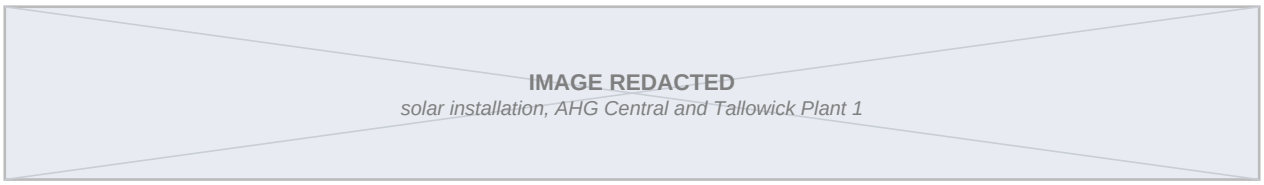
2025 Impact Examples



Improving access to surgery for children with a congenital heart condition: 184 subsidised procedures performed at AHG North in 2025 under the outreach programme co-funded with a DFI Limited Partner.



Creating manufacturing jobs through capital investment: the second household-care line at Tallowick Plant 2 added 96 permanent positions, 41% of them held by women.



Capital investment for decarbonisation: rooftop solar capacity of 1.9 MW commissioned across AHG Central and Tallowick Plant 1, reducing grid electricity consumption by an estimated 14%.

- Adding hospital capacity: the group operates 542 licensed beds across four hospitals, with a six-bed oncology intensive-care unit at AHG North permitted in June 2026 and due to open in the second half of the year.
- Promoting gender balance: female representation in management rose to 33% across the two companies, supported by the leadership programme launched with an external training partner in 2024.
- Expanding vocational training: 3,215 employees completed at least one certified training module in 2025, including 640 clinical staff trained on the new oncology protocols at AHG North.

Country Update

Country	FX per US$ Q1'26	FX per US$ Q2'26	Policy rate Q1'26	Policy rate Q2'26	Sovereign rating Q1'26 (internal scale)	Sovereign rating Q2'26 (internal scale)	Stock index YTD Q1'26 (Jan-Mar)	Stock index YTD Q2'26 (Jan-Jun)
Country A (LCA)	4.21	4.26	7.25%	6.75%	SG-3 (stable)	SG-3 (stable)	+4.2%	+7.9%
Country B (LCB)	79.6	80.0	9.00%	8.50%	SG-4 (stable)	SG-4 (positive)	+1.8%	+5.1%

The central bank of Country A cut its policy rate by 50 bps in May 2026, its second cut in the current easing cycle; the central bank of Country B cut by 50 bps in April 2026. Stock index performance refers to the main equity index of each national exchange. Sovereign ratings are expressed on the Manager's internal seven-notch speculative-grade scale (SG-1 strongest to SG-7 weakest), which maps the published assessments of two international agencies; the outlook for Country B was revised to positive in June 2026. The Fund converts LCA and LCB balances at the closing rates used in the transaction model (US$0.235 per LCA (LCA 4.26 per US$); US$0.0125 per LCB (LCB 80.0 per US$)).

Country A. Monetary policy continued to ease during the quarter as headline inflation fell to 5.1% year-on-year in June 2026 from 7.8% a year earlier, moving towards the central bank's medium-term target range of 4% to 6%. The policy rate was reduced by a further 50 bps to 6.75% in May, and money-market rates have followed. Real credit growth to the private sector turned positive for the first time since 2023, which supports the capital-expenditure programmes of the Fund's portfolio company in the country, including the financing of the oncology expansion at AHG North on terms that improved by roughly 120 bps compared with the 2024 facility.

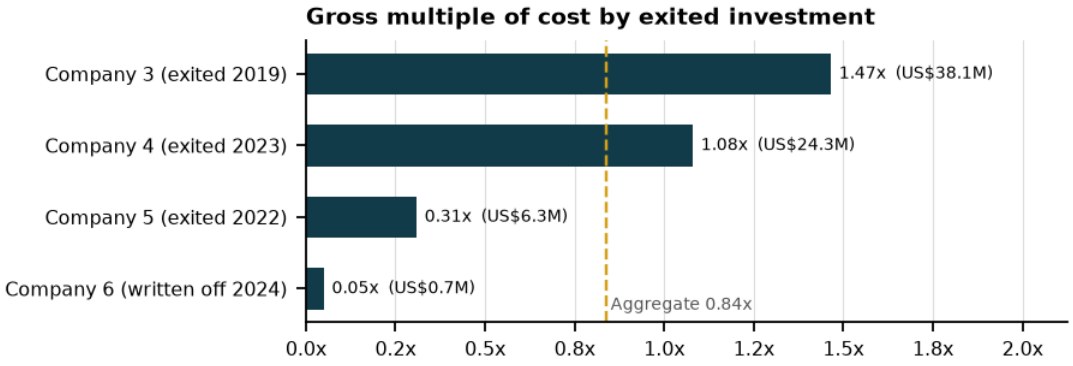
Foreign-currency availability in Country A has remained adequate under the central bank's managed-float framework and the Registered Investor Settlement Window (the "Settlement Window") established under its multi-year external-sector stabilisation programme, through which registered foreign shareholders obtain currency for dividends and sale proceeds at the published reference rate within a fixed settlement period. The local currency depreciated modestly against the US dollar during the quarter (from LCA 4.21 to LCA 4.26 per US$), a movement of about 1%, in line with the crawl implied by the inflation differential. All of AHG's scheduled foreign-currency payments were executed within the normal settlement period, which is relevant for the timing of the proceeds of the proposed transaction. Gross official reserves stood at about 5.8 months of imports at end-June 2026, and the current-account deficit narrowed to an estimated 3.4% of GDP over the last twelve months on stronger services exports and remittances.

Real GDP growth in Country A is estimated at 4.3% for the twelve months to June 2026, up from 3.6% in the prior year, led by services, construction and a recovery in manufacturing exports. Private healthcare demand continues to outgrow the economy as a whole, supported by rising insurance penetration and inbound medical tourism from neighbouring markets. The fiscal deficit is expected to remain close to 5% of GDP in 2026, and public debt at about 70% of GDP, which the Manager continues to regard as the main medium-term macro-economic risk for the country.

Country B. The economy grew by an estimated 3.4% over the twelve months to June 2026, supported by public infrastructure investment, export-oriented agri-processing and a gradual recovery in private consumption. Headline inflation slowed to 4.6% in June 2026 from 6.9% a year earlier, allowing the central bank to cut its policy rate by 50 bps to 8.50% in April. The fiscal deficit is projected at around 4.2% of GDP in 2026 and public debt at about 48% of GDP, both manageable given reserves of roughly nine months of imports. The local currency was broadly stable against the US dollar during the quarter (LCB 79.6 to LCB 80.0 per US$). Unemployment remains elevated at about 9%, and the government's local-manufacturing incentive scheme, which favours domestically produced consumer goods in public procurement and grants accelerated depreciation on new production lines, supports Tallowick's domestic production footprint and the localisation of its packaging supply. The customs pre-clearance procedure for imported production inputs, which caused delays in 2023, has operated normally over the last four quarters.

Expected Exit Pathway

Since 2019 the Fund has completed four realisations for total net proceeds of US$69.4M at an aggregate gross multiple of 0.84x on invested capital of US$82.9M; the strong outcome on Company 3 and the modest gain on Company 4 were offset by the losses on Company 5 and Company 6 incurred during the 2020 to 2022 period. The chart below shows the gross multiple of cost of each exited investment against the aggregate multiple (dashed line), with the net proceeds including income in the bar label.



Exits update:

- Arvenna Health Group and Tallowick Consumer Products: the Dunecrest Continuation Fund, together with Kessport Frontier Fund III and two development-finance co-investors, is in final due diligence and documentation to acquire the Fund's stakes at 93.3% of the 30 June 2026 carrying value (US$143.6M in aggregate). Closing is targeted for 31 December 2026, subject to the Limited Partner election, LPAC conflict clearance, the fairness opinion and regulatory approvals in Country A and Country B.
- Alternative pathways: should the continuation-fund transaction not proceed, the Manager would pursue a sale of the Tallowick stake to a strategic buyer (two regional food groups have expressed interest) and a sale of the AHG stake to the co-shareholders under the shareholders' agreement, in each case within the extended term of the Fund.
- Distributions: the Company 4 escrow of US$2.05M received in July 2026 and the Fund's share of the Tallowick dividend (c.US$4.0M) will be distributed in the fourth quarter of 2026.

Exited Investments Summary

Investment	Sector / country	Entry	Exit	Buyer type	Invested (US$m)	Net proceeds incl. income (US$m)	Gross MoC	Gross IRR
Company 3 (exited 2019)	Logistics / Country A	Dec-17	Nov-19	Strategic (regional logistics group)	26.0	38.1	1.47x	22.0%
Company 4 (exited 2023)	Agriculture / Country B	Nov-18	Sep-23	Strategic (international agri-inputs group)	22.5	24.3	1.08x	1.6%
Company 5 (exited 2022)	Packaging / Country A	Apr-19	Dec-22	Management buy-back	20.4	6.3	0.31x	-27.6%
Company 6 (written off 2024)	Retail / Country B	Mar-20	Apr-24	Asset sale / liquidation	14.0	0.7	0.05x	-51.6%
Total realised					**82.9**	**69.4**	**0.84x**	

Proposed Continuation-Fund Transaction

As notified to Limited Partners on 28 July 2026, the Manager proposes to sell the Fund's stakes in Arvenna Health Group (58.0%) and Tallowick Consumer Products (74.0%) to the Dunecrest Continuation Fund (the "Continuation Fund"), a new vehicle to be managed by Kessport Frontier Managers Limited with Kessport Frontier Fund III, DFI Partner 1 and DFI Partner 2 as co-investors. The transaction will be described in the forthcoming teaser "Project Dunecrest - Transaction Teaser" and the transaction model, both expected in the data room in September 2026; the key terms as they affect the Fund, per the draft terms circulated with the notice and the transaction model, are summarised below (US$ million unless stated).

Term	Proposed
Assets sold	Fund II's 58.0% economic interest in Arvenna Health Group and 74.0% interest in Tallowick Consumer Products
Reference NAV (30 June 2026)	US$49.0M (AHG) and US$105.0M (Tallowick); total US$153.9M
NAV pricing	94% of NAV for AHG and 93% for Tallowick (blended 93.3%)
Purchase price	US$46.0M (AHG) plus US$97.6M (Tallowick) = US$143.6M; buy-side transaction fees of 1.0% (US$1.4M) borne by the Continuation Fund
Follow-on capital	Continuation Fund commitments of US$10.0M (AHG add-on acquisitions) and US$4.0M (Tallowick), of which US$10.2M is drawn in the base case over 2027 to 2030
Management fee	1.75% per annum on net invested capital of the Continuation Fund
Carried interest	10% above an 8% IRR / 1.5x MOIC, 15% above 15% / 2.0x and 20% above 20% / 2.5x, with an 8% preferred return and 100% catch-up; GP commitment of 2% of the vehicle
GP alignment	US$5.2M of the Manager's Fund II economics reinvested in the Continuation Fund; rolling Limited Partners expected to represent about 41% of the vehicle
LP election	Fund II Limited Partners may (i) sell their pro-rata interest for cash at the purchase price, (ii) roll into the Continuation Fund on the same terms as new investors, or (iii) combine both; election deadline 20 November 2026
Base-case returns (model)	Continuation Fund gross MoIC of 2.4x and gross IRR of 20.2% over a five-year hold to a 2031 exit, on total cash outflows of US$155.3M and exit proceeds of US$334.6M
Timing	Signing targeted for October 2026; LPAC clearance and fairness opinion in November 2026; closing 31 December 2026; cash proceeds distributed to selling Limited Partners in January 2027



For the Fund, the transaction would crystallise the value of the two remaining investments at 93.3% of carrying value and bring cumulative distributions to c.1.23x paid-in capital after estimated transaction costs of US$1.9M borne by the Fund (DPI today: 0.40x). The Manager believes the price is fair in light of the independent process run for AHG in 2025 and regional listed trading multiples; the fairness opinion will be circulated on receipt. No carried interest is payable on the transaction, as the preferred return has not been met.

Conflicts of interest are inherent where the Manager acts on both sides. Under LPA clause 15.3 the Limited Partner Advisory Committee has received the valuation papers and draft documentation and has appointed independent counsel at the Fund's expense; rolling Limited Partners receive terms no less favourable than new investors, and no transaction fee is payable to the Manager.

Portfolio Reporting - Arvenna Health Group



Company Level Information

Legal and trading name	Arvenna Health Group Limited ("AHG"), a company incorporated in Country A, held through Arvenna Health Holdings Limited (Jurisdiction D)
Location and head office of management	Headquarters - Country A (capital region); four hospitals and one diagnostics entity in Country A
Sector classification	Healthcare - private hospitals and clinics; laboratory and imaging diagnostics
Fund's role in the investment	Lead investor and largest shareholder alongside Kessport Frontier Fund III (12%), DFI Partner 1 (15%) and DFI Partner 2 (15%); founder family and management hold the balance through minority interests at entity level
Percentage ownership	58.0% (economic interest in the holding company)
Board representation	Three of seven board seats (Fund nominees), chair of the audit committee and a member of the medical quality committee
Website	www.arvennahealth.example

Details of Returns

Deal structure	Equity - primary capital increase (July 2021) with two follow-on capital increases (June 2022 and June 2023)
Committed amount	US$31.4M
Invested amount *	US$31.4M
Company's fair value at the reporting date (100%)	US$84.4M (equity value; enterprise value US$110.4M)
Carrying value of the Fund's investment (unrealised)	US$49.0M
Realised proceeds	US$2.2M (dividends received 2022 to 2025)
IRR / MoC	11.2% / 1.63x (gross, including income, on carrying value)

* The invested amount is part of the Fund's larger commitment to a regional hospital platform and includes capitalised transaction expenses of US$0.42M; the follow-on investments funded the acquisition of AHG Park (2022) and the radiotherapy unit at AHG North (2023).

Background of Arvenna Health Group

Arvenna Health Group was formed in 2019 by Dr. Karim Sfaxi-Mellouli, its Founder and Chairman, as a hospital owner-operator to address the persistent undersupply of private hospital beds in Country A, where the ratio of beds to population is less than half the level of comparable middle-income countries. The platform's first asset was AHG Central, the 176-bed flagship hospital in the capital region, followed by AHG Coast (120 beds) and AHG North (142 beds, including the group's oncology and radiotherapy unit), both acquired through AHG Central as parent. The Fund invested in July 2021 to fund the fourth acquisition, the 104-bed AHG Park, and the build-out of AHG Diagnostics, the group's laboratory and imaging entity. The group today operates 542 licensed beds and employs about 1,900 staff; some 410 doctors hold admitting privileges across its hospitals, of whom 310 practise principally within the group (160 as exclusive partner doctors). The group is led by Leila Bouhlel-Aziz (Group CEO), Omar Trabelsi-Farah (Group CFO) and Dr. Hela Chaabane (Chief Medical Officer).

Valuation

In line with the Valuation Policy, the Fund values its investment in Arvenna Health Group at US$49.0M at 30 June 2026 (31 March 2026: US$47.2M), on the basis of 8.0x last-twelve-months EBITDA of US$13.8M (LCA 58.7M), less gross debt of US$23.6M and minority interests of US$4.4M, plus cash of US$2.6M and other adjustments (equity value US$84.4M for 100%; see the Valuation Summary). The multiple is unchanged from the prior quarter and is consistent with the pricing of the proposed continuation-fund transaction.

US$ million	LTM Q2'25	LTM Q2'26	Change
Revenue	51.7	58.6	13.4%
Gross profit	36.0	41.1	14.2%
EBITDA	11.6	13.8	18.6%
EBITDA margin	*22.5%*	*23.5%*	*+1.0 pts*
Net income	4.5	5.9	30.7%
Net debt / (net cash) at 30 June	24.9	22.5	

Arvenna Health Group - last twelve months to 30 June (US$ million; LTM = audited prior year less prior-year first half plus current first half)

NAV bridge for the quarter (US$ million)	Amount
Carrying value at 31 March 2026	**47.17**
Increase in LTM EBITDA (8.0x multiple unchanged)	1.65
Reduction in net debt (cash generation)	0.57
Minority interests and other adjustments	(0.05)
FX translation (LCA vs US$)	(0.38)
Carrying value at 30 June 2026	**48.96**

Business report

- Financial performance
  - Revenues for the first half of 2026 were LCA 128.8M (US$30.3M), 13.8% above the first half of 2025 and 98.5% of budget; last-twelve-months revenue to June 2026 was US$58.6M versus US$51.7M a year earlier (13.4%).
  - EBITDA for the half year was LCA 30.2M (US$7.1M), 13.2% above the prior-year period and 97.8% of budget; last-twelve-months EBITDA rose to US$13.8M from US$11.6M (18.6%). The outperformance against prior year is attributable to occupancy gains at AHG Central and AHG North and to the full-year contribution of the radiotherapy unit.
- Operational overview
  - Inpatient admissions across the four hospitals reached c.18,818 in the half year (1.5% year-on-year; c.37,924 for the full year 2025); revenue per admission grew by about 6% in local currency on a richer case mix (surgery and oncology).

- Average bed occupancy was 70.5% in the half year (69.3% in 2025), with AHG Central at 76.9%, AHG North at 73.4%, AHG Coast at 67.1% and AHG Park at 64.7%; outpatient visits grew by 9% and laboratory tests by 7%.

- Patient mix
  - International patients continue to account for about 42% of admissions and 59% of revenue, in line with 2025; within this, the two neighbouring-country corridors opened in 2025 (corporate tender and insurer onboarding) represented 11% of inpatient revenue in the half year (c.10% in 2025), with revenue from these corridors up 38% year-on-year compared with 12% growth in domestic revenue.
- Profitability metrics
  - Gross profit for the half year was US$21.3M, a margin of 70.5% (69.7% in the first half of 2025); the EBITDA margin broadly stable at 23.5% (23.6% in the prior-year period), as the higher gross margin was absorbed by the specialist-recruitment costs described below.
  - Net debt at 30 June 2026 was US$22.5M (LCA 95.7M), or 1.6x LTM EBITDA, down from US$24.9M a year earlier following scheduled amortisation of the acquisition facility; capex for the half year was US$1.9M.
- Strategic initiatives and value creation
  - Doctor engagement and recruitment: 11 senior specialists joined in the half year (three oncologists, two interventional cardiologists, two orthopaedic surgeons, two IVF specialists, one urologist and one radiologist), adding an estimated LCA 1.6M of monthly revenue at run-rate; a physician partnership scheme for AHG Park was approved by the board in May 2026.
  - Increasing specialisation: phase two of the oncology expansion at AHG North (a six-bed oncology intensive-care unit and a second linear accelerator) received its operating permit in June 2026; the IVF centre at AHG Central completed its regulatory pre-authorisation and construction is scheduled to complete in the fourth quarter; the bio-molecular laboratory launched a sequencing platform in April, with phase two pending authorisation; the radiology compliance upgrade at AHG Coast was completed on budget.
  - Medical value tourism: a corporate-tender contract was signed in March 2026 with a state employer in a neighbouring country, and two further third-party administrators and insurers were onboarded in a second neighbouring market, contributing LCA 9.3M of revenue in the half year.
  - Brand strengthening: the group launched a social-video campaign around its oncology and maternity services and completed the roll-out of its customer-relationship-management platform at AHG Central and AHG Coast, with the remaining sites scheduled for the second half.

ESG risk profile - Environment	ESG risk profile - Social matters	ESG risk profile - Governance	Quality of ESG management systems
Low	Medium	Low	Medium

A Corrective Action Plan was developed at entry with sector experts and the Fund's development-finance co-investors. Its main items - the upgrade of operating-theatre ventilation at AHG Coast, the contracting of a licensed medical-waste operator for all sites and the introduction of a formal employee grievance mechanism - have all been closed, as confirmed by the independent ESG audit completed in March 2026. The group publishes an annual quality and patient-safety report and holds international accreditation at AHG Central and AHG North.

Outlook

- The board-approved 2026 budget targets full-year revenue of US$62.3M (LCA 265.1M, 13.4% above 2025) and EBITDA of US$14.6M (23.5% margin); first-half delivery of 97.8% of the phased EBITDA budget leaves the full-year target within reach.
- Second-half milestones are the opening of the six-bed oncology intensive-care unit at AHG North, completion of the IVF centre at AHG Central in the fourth quarter and the roll-out of the patient-relationship platform to AHG North and AHG Park.
- Capital expenditure of US$3.9M is budgeted for 2026 (US$1.9M spent in the first half), funded from operating cash flow; net debt is expected to end the year at about US$20.9M, or 1.4x budget EBITDA.
- The Fund expects to realise its stake through the proposed continuation-fund transaction at closing on 31 December 2026; the add-on programme (two hospitals in secondary cities) would then be funded from the Continuation Fund's follow-on commitment rather than by the Fund.

Partner Company Financial Snapshot - Arvenna Health Group

Metric	Audited FY2024	Audited FY2025	Q2'25	Q2'26	Growth	H1'25	H1'26	Growth	Budget H1'26	% of budget
Total revenues	206,170	233,807	58,452	66,810	14.3%	113,163	128,797	13.8%	130,759	98.5%
Gross profit	143,395	162,857	40,714	47,099	15.7%	78,823	90,797	15.2%	92,367	98.3%
EBITDA	**43,951**	**55,190**	**13,797**	**15,678**	**13.6%**	**26,712**	**30,225**	**13.2%**	**30,905**	**97.8%**
Net income	15,218	23,097	5,774	6,752	16.9%	11,179	13,016	16.4%	13,363	97.4%
Gross margin	*69.6%*	*69.7%*	*69.7%*	*70.5%*	*+0.8 pts*	*69.7%*	*70.5%*	*+0.8 pts*	*70.6%*	
EBITDA margin	*21.3%*	*23.6%*	*23.6%*	*23.5%*	*-0.1 pts*	*23.6%*	*23.5%*	*-0.1 pts*	*23.6%*	
Net margin	*7.4%*	*9.9%*	*9.9%*	*10.1%*	*+0.2 pts*	*9.9%*	*10.1%*	*+0.2 pts*	*10.2%*	
Reported net debt / (net cash)	110,026	102,289*	106,157	95,711		106,157	95,711		101,454	

Arvenna Health Group - financial snapshot (LCA '000)

Metric	Audited FY2024	Audited FY2025	Q2'25	Q2'26	Growth	H1'25	H1'26	Growth	Budget H1'26	% of budget
Total revenues	48,450	54,945	13,736	15,700	14.3%	26,593	30,267	13.8%	30,728	98.5%
Gross profit	33,698	38,271	9,568	11,068	15.7%	18,523	21,337	15.2%	21,706	98.3%
EBITDA	**10,328**	**12,970**	**3,242**	**3,684**	**13.6%**	**6,277**	**7,103**	**13.2%**	**7,263**	**97.8%**
Net income	3,576	5,428	1,357	1,587	16.9%	2,627	3,059	16.4%	3,140	97.4%
Gross margin	*69.6%*	*69.7%*	*69.7%*	*70.5%*	*+0.8 pts*	*69.7%*	*70.5%*	*+0.8 pts*	*70.6%*	
EBITDA margin	*21.3%*	*23.6%*	*23.6%*	*23.5%*	*-0.1 pts*	*23.6%*	*23.5%*	*-0.1 pts*	*23.6%*	
Net margin	*7.4%*	*9.9%*	*9.9%*	*10.1%*	*+0.2 pts*	*9.9%*	*10.1%*	*+0.2 pts*	*10.2%*	
Reported net debt / (net cash)	25,856	24,038*	24,947	22,492		24,947	22,492		23,842	

Arvenna Health Group - financial snapshot (US$ '000; translated at US$0.235 per LCA (LCA 4.26 per US$))

NB: net income growth excludes the exceptional gain of LCA 2.1M on a non-core property sale recognised in H1 2025. *: audited FY2025 net debt reflects the audit adjustment described in the Fund Synopsis. Half-year and quarterly figures are management accounts; annual figures are audited.

Portfolio Reporting - Tallowick Consumer Products



Company Level Information

Legal and trading name	Tallowick Consumer Products Limited ("Tallowick"), a company incorporated in Country B, held through Tallowick Holdings Limited (Jurisdiction D)
Location and head office of management	Headquarters - Country B; three manufacturing plants in Country B
Sector classification	Consumer staples - packaged food; household care
Fund's role in the investment	Controlling shareholder alongside the founder-management team (26%), which retains operational leadership under a shareholders' agreement
Percentage ownership	74.0%
Board representation	Three of five board seats (Fund nominees), including the chair; management holds two seats
Website	www.tallowick.example

Details of Returns

Deal structure	Equity - primary growth capital and partial secondary from the founding family (November 2019)
Committed amount	US$27.9M
Invested amount *	US$27.9M
Company's fair value at the reporting date (100%)	US$141.8M (equity value; enterprise value US$141.5M)
Carrying value of the Fund's investment (unrealised)	US$105.0M
Realised proceeds	US$16.3M (dividends received 2020 to 2025)
IRR / MoC	28.8% / 4.35x (gross, including income, on carrying value)

* The invested amount is stated gross of the Fund's share of the 2021 dividend, LCB 233M (US$2.9M), which was reported as a capital reduction under local law and is shown as income in the portfolio schedule.

Background of Tallowick Consumer Products

Company description and investment rationale

Tallowick was founded in 2004 as a family company by its late founder, starting with a single ambient dairy-style dessert line under the Dunya name, and has grown over twenty-two years into one of the three largest branded packaged-food and household-care manufacturers in Country B. The company manufactures, markets and distributes its products itself from three plants (eleven production lines) in industrial zones around the capital, employs about 2,400 people and reaches an estimated 84,000 points of sale through 46 exclusive distributors (41 in 2023), some 310 wholesalers and a direct key-account team serving the five national modern-trade chains. Its portfolio comprises the Tallowick master brand and three category brands: Dunya (dairy-style desserts and spreads, with an estimated 35% volume share of its category), Zeyla (biscuits and snacks) and Beyta (household care). At the time of the Fund's investment in November 2019, when the Fund bought out the previous institutional investor and subscribed new shares for a 74% stake, the packaged-food market in Country B was projected to grow at 7% to 9% per annum; the investment thesis rested on a large and fast-growing consumer market, a founding family and management team retaining a 26% stake and operational leadership, and the professionalisation of management, which has since been strengthened under Yacine Boudiaf (Chief Operating Officer from 2017 and CEO since 2021, following the death of the founder), with Nadia Kherbache as CFO, Samir Ould-Amar as Commercial Director and Farid Aklouche-Sebti as Operations Director.

Valuation

In line with the Valuation Policy, the Fund values its investment in Tallowick at US$105.0M at 30 June 2026 (31 March 2026: US$101.6M), on the basis of 7.0x last-twelve-months EBITDA of US$20.2M (LCB 1,617M), less gross debt of US$3.6M, corporate income tax payable on a sale of US$2.15M and dividends declared but unpaid at the pro-forma date of US$1.5M, plus cash of US$7.6M (equity value US$141.8M for 100%; see the Valuation Summary). The multiple is unchanged from the prior quarter.

US$ million	LTM Q2'25	LTM Q2'26	Change
Revenue	127.0	137.3	8.1%
Gross profit	46.3	51.4	11.0%
EBITDA	17.5	20.2	15.4%
EBITDA margin	*13.8%*	*14.7%*	*+0.9 pts*
Net income	10.2	12.1	18.4%
Net debt / (net cash) at 30 June	(1.0)	(3.2)	

Tallowick Consumer Products - last twelve months to 30 June (US$ million; LTM = audited prior year less prior-year first half plus current first half)

NAV bridge for the quarter (US$ million)	Amount
Carrying value at 31 March 2026	**101.57**
Increase in LTM EBITDA (7.0x multiple unchanged)	2.84
Increase in net cash	1.12
Tax on sale and unpaid-dividend adjustments	(0.21)
FX translation (LCB vs US$)	(0.37)
Carrying value at 30 June 2026	**104.95**

Business report

- Revenue for the first half of 2026 reached LCB 5,509M (US$68.9M), 7.3% above the first half of 2025 and 98.5% of budget. Growth was volume-led (about two thirds of the increase), with the Zeyla biscuit range and the Beyta household-care line the main contributors; last-twelve-months revenue stood at US$137.3M (8.1% year-on-year).
- The gross margin improved to 38.6% from 36.2% in the prior-year period, reflecting favourable price/mix, lower resin and edible-oil purchase prices and reduced logistics costs following the localisation of packaging supply and the opening of the regional distribution centre in the east of the country.
- EBITDA for the half year was LCB 869M (US$10.9M), 23.9% above the prior year, at a margin of 15.8% (13.7% in the first half of 2025); the gross-margin gain was partly offset by higher trade-promotion and marketing investment behind the relaunch of the Dunya range.
- The cash position continued to strengthen: net cash of US$3.2M at 30 June 2026 compares with net cash of US$1.0M a year earlier, net cash of US$2.4M at 31 December 2025 and net debt of US$0.5M at 31 December 2024, after capex of US$2.4M in the half year, mostly on the second household-care line at Plant 2.
- The company expects to remain strongly cash generative in the second half and the board has approved a net dividend of LCB 428M (US$5.3M) payable in September 2026, of which the Fund's share will be c.US$4.0M. Because the valuation above uses the pro-forma 31 December 2026 balances of the transaction model, the September payment is already reflected in the year-end cash balance; only the dividends expected to remain declared but unpaid at that date (US$1.5M) are deducted from equity value.

Outlook

- The 2026 budget approved by the board targets net revenue of LCB 11,312M (US$141.4M, 6.6% above 2025) and EBITDA of LCB 1,785M (US$22.3M, 15.8% margin); the first half delivered 97.8% of the phased EBITDA budget.
- Management expects the second half to benefit from the full-year effect of the Plant 2 household-care line and from export listings in two neighbouring markets; capex of US$4.8M is budgeted for the year and the company is expected to remain in a net cash position of about US$3.9M at year end after payment of the September dividend.
- The Fund's share of the September 2026 dividend (c.US$4.0M) will be distributed to Limited Partners in the fourth quarter together with the Company 4 escrow.
- The Fund expects to realise its stake through the proposed continuation-fund transaction at closing on 31 December 2026; should the transaction not proceed, a sale to a strategic buyer remains the alternative exit route (two regional food groups have expressed interest).

ESG risk profile - Environment	ESG risk profile - Social matters	ESG risk profile - Governance	Quality of ESG management systems
Low / Medium	Low	Low	Medium

The environmental action plan focuses on water consumption and wastewater treatment at Plant 1, where a new treatment unit was commissioned in February 2026, and on the solar installation described in the impact section. The company obtained food-safety certification for all three plants in 2025 and maintains a health-and-safety committee at each site; the lost-time injury rate fell to 1.4 per million hours worked in the half year.

Partner Company Financial Snapshot - Tallowick Consumer Products

The two tables below present Tallowick's consolidated financial snapshot in local currency (LCB million) and translated into US dollars (US$ million) at the transaction-model rate. Net debt is shown as a negative figure (net cash) in parentheses. Half-year and quarterly figures are management accounts; annual figures are audited.

Metric	Audited FY2024	Audited FY2025	Q2'25	Q2'26	Growth	H1'25	H1'26	Growth	Budget H1'26	% of budget
Total revenues	9,680	10,612	2,653	2,851	7.5%	5,136	5,509	7.3%	5,593	98.5%
Gross profit	3,552	3,842	960	1,101	14.7%	1,859	2,129	14.5%	2,166	98.3%
EBITDA	**1,347**	**1,449**	**362**	**450**	**24.1%**	**702**	**869**	**23.9%**	**889**	**97.8%**
Net income	781	855	214	274	28.1%	414	529	27.9%	543	97.4%
Gross margin	*36.7%*	*36.2%*	*36.2%*	*38.6%*	*+2.4 pts*	*36.2%*	*38.6%*	*+2.4 pts*	*38.7%*	
EBITDA margin	*13.9%*	*13.7%*	*13.7%*	*15.8%*	*+2.1 pts*	*13.7%*	*15.8%*	*+2.1 pts*	*15.9%*	
Net margin	*8.1%*	*8.1%*	*8.1%*	*9.6%*	*+1.5 pts*	*8.1%*	*9.6%*	*+1.5 pts*	*9.7%*	
Reported net debt / (net cash)	38	(192)	(77)	(254)		(77)	(254)		(239)	

Tallowick Consumer Products - financial snapshot (LCB million)

Metric	Audited FY2024	Audited FY2025	Q2'25	Q2'26	Growth	H1'25	H1'26	Growth	Budget H1'26	% of budget
Total revenues	121.0	132.6	33.2	35.6	7.5%	64.2	68.9	7.3%	69.9	98.5%
Gross profit	44.4	48.0	12.0	13.8	14.7%	23.2	26.6	14.5%	27.1	98.3%
EBITDA	**16.8**	**18.1**	**4.5**	**5.6**	**24.1%**	**8.8**	**10.9**	**23.9%**	**11.1**	**97.8%**
Net income	9.8	10.7	2.7	3.4	28.1%	5.2	6.6	27.9%	6.8	97.4%
Gross margin	*36.7%*	*36.2%*	*36.2%*	*38.6%*	*+2.4 pts*	*36.2%*	*38.6%*	*+2.4 pts*	*38.7%*	
EBITDA margin	*13.9%*	*13.7%*	*13.7%*	*15.8%*	*+2.1 pts*	*13.7%*	*15.8%*	*+2.1 pts*	*15.9%*	
Net margin	*8.1%*	*8.1%*	*8.1%*	*9.6%*	*+1.5 pts*	*8.1%*	*9.6%*	*+1.5 pts*	*9.7%*	
Reported net debt / (net cash)	0.5	(2.4)	(1.0)	(3.2)		(1.0)	(3.2)		(3.0)	

Tallowick Consumer Products - financial snapshot (US$ million; translated at US$0.0125 per LCB (LCB 80.0 per US$))

NB: EBITDA is stated after operating taxes and before the share-based expense of the management incentive plan (LCB 62M in the first half of 2026). Budget H1'26 is the board-approved 2026 budget phased by month.

Capital Account Summary and Fees

Capital Account Summary

The table below summarises the movement in the capital accounts of the three parallel vehicles for the quarter ended 30 June 2026, in US$ million. Amounts are allocated between vehicles pro rata to commitments (Kessport Frontier Fund II L.P. 65.7%, Fund II-A 22.3% and Fund II-B (DFI) 11.9%), other than vehicle-specific expenses, which are charged directly. Individual capital account statements are issued by the Administrator to each Limited Partner.

US$ million	Fund II L.P.	Fund II-A L.P.	Fund II-B (DFI) L.P.	Total
Net asset value at 31 March 2026	**106.21**	**36.07**	**19.30**	**161.58**
Capital contributions	0.00	0.00	0.00	0.00
Distributions	0.00	0.00	0.00	0.00
Investment income and escrow accretion	0.66	0.22	0.12	1.00
Realised gains / (losses)	0.00	0.00	0.00	0.00
Unrealised gains on portfolio	3.40	1.15	0.62	5.17
General Partner share and fund expenses	(0.32)	(0.11)	(0.06)	(0.49)
Net asset value at 30 June 2026	**109.94**	**37.34**	**19.97**	**167.25**

Fees and Expenses

Fees and expenses borne by the Fund for the quarter, the year to date and since inception are set out below. Legal and professional costs in the current period include the fees of the Limited Partner Advisory Committee's independent counsel in connection with the proposed continuation-fund transaction, which are borne by the Fund under LPA clause 15.3; the costs of the fairness opinion will be borne by the Manager.

US$ million	Q2 2026	Year to date 2026	Since inception
General Partner share	0.22	0.44	26.40
Organisational costs	0.00	0.00	1.30
Fund administration	0.06	0.12	1.65
Audit and tax	0.05	0.09	0.92
Legal and professional (including continuation-fund advisers)	0.14	0.21	1.78
LPAC, annual meeting and reporting	0.01	0.03	0.31
Bank charges and other	0.01	0.02	0.54
Total fees and expenses	**0.49**	**0.91**	**32.90**

Since inception the Fund has borne fees and expenses of US$32.9M, equivalent to 19.3% of paid-in capital, of which the General Partner share represents US$26.4M. Transaction costs relating to investments and realisations are charged at the level of the holding SPVs and are reflected in invested capital and net exit proceeds in the portfolio schedule. No placement fees, monitoring fees or other fees have been received by the Manager or its affiliates from portfolio companies; director fees received by Fund nominees are offset against the General Partner share in accordance with LPA clause 8.4.

Key Events, Subsequent Events and Risk Factors

Key Events during the Quarter

- The Fund's audited financial statements for 2025 were issued on 24 April 2026 with an unqualified opinion; the audit adjustment to the year-end net debt of Arvenna Health Group has been reflected in the valuation.
- The annual general meeting of Limited Partners was held on 9 June 2026; the Limited Partner Advisory Committee met on 21 April and 16 June 2026, the latter meeting being devoted to the proposed continuation-fund transaction.
- Arvenna Health Group received the operating permit for the second phase of its oncology expansion at AHG North (June 2026) and signed a cross-border corporate contract in a neighbouring country (March 2026).
- Tallowick's board approved a dividend of LCB 428M (US$5.3M) payable in September 2026 and completed the commissioning of the second household-care line at Plant 2.
- The Fund issued its 2025 ESG and Impact Report on 29 May 2026; no serious incidents were reported by either portfolio company during the quarter.

Subsequent Events

- 17 July 2026: release of the Company 4 escrow of US$2.05M in full, following expiry of the warranty period without claims; the amount was carried as a receivable at 30 June 2026.
- 28 July 2026: notice to Limited Partners of the proposed sale of the Fund's stakes in Arvenna Health Group and Tallowick Consumer Products to the Dunecrest Continuation Fund, with the draft key terms; the transaction teaser and the data room are expected to follow in September 2026, with a targeted closing on 31 December 2026.
- 11 August 2026: the central bank of Country A approved the registration of the proposed share transfer under the Settlement Window, confirming that sale proceeds may be repatriated in a single instalment on closing.
- No other events have occurred between 30 June 2026 and the date of this report that would require adjustment to, or disclosure in, the figures presented.

Risk Factors

- Transaction risk: the proposed continuation-fund transaction may not complete on the terms or timetable described, or at all, if the Limited Partner election, LPAC clearance, regulatory approvals or financing conditions are not satisfied; in that case the Fund would revert to a bilateral sale process within its extended term, with uncertain timing and pricing.
- Conflicts of interest: the Manager acts for both the Fund and the Continuation Fund; the safeguards described in this report mitigate but do not eliminate the risk that the price or terms differ from those achievable in an arm's-length process.
- Currency and transfer risk: the carrying value of both investments is translated from LCA and LCB into US dollars; a 10% depreciation of both currencies would reduce NAV by approximately US$15M; capital-transfer procedures in Country A and Country B may delay the repatriation of proceeds.
- Valuation risk: the remaining investments are unquoted and valued on multiples of LTM EBITDA; realisable values may differ materially from carrying values, and the Fund's TVPI of 1.38x remains sensitive to the final exit price.
- Concentration risk: two investments in two countries represent 92% of NAV; adverse regulatory changes in private healthcare pricing in Country A or in the import procedures for production inputs in Country B would affect a large share of the portfolio.
- Term and liquidation risk: if the remaining investments are not realised by 14 September 2029, the LPA provides for a distribution in kind or a liquidator-led sale, either of which may be at a discount.

Notes to the Report

1. Basis of preparation. This report has been prepared from the unaudited books and records of the Fund maintained by the Administrator, on a basis consistent with the audited financial statements for the year ended 31 December 2025, which are prepared under the international accounting standards adopted by the Fund under the LPA, with investments at fair value through profit or loss. Figures may not add due to rounding.

2. Valuation. Unrealised investments are valued under the Fund's Valuation Policy, which follows internationally recognised private-equity valuation guidelines (schedule 3 of the LPA), on a market approach using multiples of last-twelve-months EBITDA to 30 June 2026 (audited FY2025 EBITDA less first-half 2025 plus first-half 2026 per management accounts: US$13.8M for Arvenna Health Group and US$20.2M for Tallowick Consumer Products, which reproduce the LTM EBITDA of the transaction model). Debt, cash and minority interests are deducted at the pro-forma 31 December 2026 balances of the transaction model, making carrying values directly comparable with the Exit NAV pricing; for Tallowick, corporate income tax payable on a sale (US$2.15M) and dividends declared but unpaid at that date (US$1.5M) are also deducted, as in the model. The multiples applied are 8.0x for Arvenna Health Group and 7.0x for Tallowick Consumer Products, unchanged from 31 March 2026. Valuations were reviewed by the Investment Committee on 21 July 2026.

3. Foreign exchange. Portfolio-company balances are translated at the closing rates applied in the transaction model: US$0.235 per LCA (LCA 4.26 per US$) and US$0.0125 per LCB (LCB 80.0 per US$). Local-currency figures in the financial snapshots are translated at the same rates for all periods to isolate operating performance from currency movements; the FX line in each NAV bridge captures the translation effect on carrying value between quarter ends.

4. Performance measures. DPI, RVPI and TVPI are computed on paid-in capital of US$170.2M. The net IRR reported at fund level (6.6%) is the annualised internal rate of return of the actual Limited Partner cash flows since inception (drawdowns and distributions on their actual dates, as listed in the IRR table in the Fund Status section) with the residual value of US$167.3M as a terminal inflow at 30 June 2026, net of all fees, expenses and carried interest (nil). Gross IRR and gross MoC are computed on investment-level cash flows before fees, expenses and carried interest.

5. Fees and carried interest. The General Partner share is accrued quarterly in advance on net utilised capital. Carried interest is calculated on a whole-fund basis under LPA clause 12; the preferred return has not been met and no carried interest is accrued. Fund expenses of US$0.5M for the quarter include US$0.14M of legal and professional costs relating to the proposed continuation-fund transaction.

6. Company financial information. Portfolio-company figures are taken from audited financial statements for 2024 and 2025 and from unaudited management accounts and board-approved budgets for 2026; operating indicators are as reported by management and have not been independently verified.

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Disclaimer

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This report contains forward-looking statements, including statements regarding budgets, exit expectations, the proposed continuation-fund transaction, macro-economic conditions and the anticipated timing of distributions. Words such as "expect", "anticipate", "target", "budget", "intend", "plan", "believe" and similar expressions identify such statements. Forward-looking statements are based on assumptions that the Manager considers reasonable at the date of this report but which are inherently uncertain and are likely to prove inaccurate in one or more respects. Actual results may differ materially as a result of, among other things, currency movements and capital controls, changes in regulation, competitive dynamics, the availability of buyers and the outcome of the limited partner election process. EBITDA as used in this report is earnings before interest, tax, depreciation and amortisation as reported by the portfolio companies, adjusted where indicated for non-recurring items. Past performance is not indicative of future results.

Descriptions of portfolio companies are illustrative summaries prepared from information provided by the companies' management and have not been independently verified. Third-party economic and market data have been obtained from sources believed to be reliable but have not been verified by the Manager. Unaudited valuations are prepared in accordance with the Fund's valuation policy, which follows internationally recognised private-equity valuation guidelines (the "Valuation Policy"), are reviewed by the Fund's Investment Committee and are subject to change. This report does not constitute investment, legal, tax or accounting advice, and recipients should conduct their own due diligence and consult their own advisers. This report is not an offer to sell or a solicitation of an offer to buy any interest in the Fund, in the Dunecrest Continuation Fund or in any other vehicle; any such offering will be made only pursuant to a definitive offering document.

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